Point of View

Recent Trends and Challenges in Marketing and Sales in Biopharmaceuticals

-An MphasiS Point of View

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The Life Sciences industry is experiencing large paradigm shifts. From a dwindling reputation in the public eye, to compliance violations, to various market shifts due to price-reimbursement restrictions, Biopharmaceutical companies are undergoing heavy extrinsic and intrinsic forces, shaping their future. Clearly noticeable cost containment measures from external effects (mergers and acquisitions, layoffs) and internal changes (rapid increases in R&D costs and customer centricity within commercial operations) have made biopharma very conscious of costs and value generation. There is a heightened awareness to address issues as a whole, with a common pool of stakeholders, looking at larger issues.

To that end, MphasiS has created M-COX™ (MphasiS Commercial Excellence), a new mindset and suite of platforms to enable marketing and sales – not only to address the issue at hand, but to improve and reach a state of excellence.

Generally defined, M-COX™ provides a holistic way of thinking to allow firms to improve their vision and embark on an intelligent strategy to initiate, measure, evaluate communications and interactions across multiple channels by business teams.

Specifically defined, M-COX™ is a technology enabler that defines both base platforms as well as accelerators to effectively orchestrate a network of stakeholders across the full commercial organization.

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Introduction

Emerging from the dye and chemical industries, the pharmaceutical and biotechnology industry (now more commonly known as biopharmaceuticals or "biopharma") has come a long way and has carved a niche for itself as one of the highest regulated industries while adopting one of the most successful business models of our times. In recent years, the industry has experienced various confounding factors such as a weak late stage pipeline, reduced drug approvals, sluggish growth rates, generics dominance, patent expiration, new and novel payer mechanisms, payment and reimbursement reforms, regulations, and ever changing customer priorities. While some of these factors improved the industry's future horizons, a few have baffled the industry's very existence and have resulted in major calls for overhaul. With changing organizational dynamics and sophisticated technologies, one critical area of change is in Sales and Marketing, or the "Global Commercial Operations" part of the business. These confounding factors have resulted in the following impacts:

- A dwindling reputation
- Restricted market access
- A diminishing RoI
- Marked increase of compliance violations
- Pricing and reimbursement restrictions
- Creative and necessary shift from mass markets to specialty markets

> "Interactions between physicians and pharmaceutical company representatives benefit patient care through the exchange of information about new medicines, new uses of medicines, the latest clinical data, appropriate dosing, and emerging safety issues."
>
> – PhRMA

Dwindling Reputation and Restricted Access

According to a survey[1] of more than 1,500 doctors "a slight drop in a measure of the quality of detailers' relationships with doctors and negative word-of-mouth about pharma rose sharply among physicians — this so-called market-resistance index jumped 62% in the last year."

Product recalls and controversies over marketed drugs as Topamax (Topiramate), Vytorin (Ezetimbe and Simvastatin), Avandia (Rosiglitazone), Vioxx (Rofecoxib) and Celebrex (Celecoxib) have made both patient and physician communities more skeptical about drug manufacturers. Regulatory agencies are now even more watchful of the companies and their promotional practices and for their information dissemination.

Practice size & ownership	Require appointments	Refuse to see
Practice Size		
1 to 2	32.5%	14.3%
3 to 5	36.1%	36.1%
6 to 10	45.0%	45.0%
More than 10 practice ownership	45.5%	45.5%
Non-hospital	37.8%	37.8%
Non-health system	37.5%	37.5%
Hospital	44.6%	44.6%
Health system	52.0%	52.0%

Table 1: Restricted Access: Percentage of appointment and turn downs

Based on a recent report[2] from a leading information agency, it was reported that "About one in four physicians' works in a practice that refuses to see drug representatives. Out of doctors who do see representatives; about 40% will meet with detailers only with scheduled appointments. The 'by-appointment-only' figure jumped 23% during the first six months of 2008, according to a survey of more than 227,000 medical practices representing 640,000 physicians." It is apparent that biopharma have to shed conservatism and seek innovative ways to regain access with physician community.

Diminishing RoI

One of the primary triggers for biopharmaceutical companies to increase their sales force was claims toward higher RoI (Return on Investment); there used to be a clear correlation between number of visits and expected outcomes. This driving factor provided the industry a quantum leap in terms of revenue and growth; thrashed analysts' forecasts forever, and gave way for the mammoth blockbusters such as Lipitor that the industry had never previously witnessed.

In the last few years, biopharma witnessed a negative ratio of RoI with respect to sales force numbers. It was reported[3] that "live detailing, either face-to-face or by telephone, also declined". In one 12-month period 6 out of the top 10 drug companies saw a drop in the number of details. Several factors contributed to this drop, including busier HCP schedules, patient overload, me-too drugs, and alternate channels of information. Over and above competition clutter, market-customer shifts, regulations, and increased resistance have also contributed to diminishing RoI.

[1]TNS Survey (2009)
[2]SK&A Information Services Report (2009)
[3]Medical Marketing and Media (MM&M) Sales Force Report "Loop of Faith" (2008)

Biopharma business teams had to now look for game changing rather than name changing strategies. They explore more effective ways of reaching customers (based on need and market situation) to improve RoI and have the right measures in place to gauge each customer interaction or engagement.

"Mirrored sales force" is one predominant approach that picked up in the last decade among sales organizations. This approach has overlap of territories and out come-customer ends up seeing more than one sales representative, thus increasing the "share of voice" in order to maximize returns. But recent trends have shown decreasing RoI in this approach.

Compliance Violations

Sales teams face an array of challenges – from market threats and increased competition and generic drugs, to downsizing of sales teams and rumors of replacement by alternative selling models. Despite training and compliance workshops to executives and business managers, management teams find it difficult to comply with expanding regulations, resulting in compliance violations.

Company name	Rationale	Fine (in USD)	Year
Pfizer	Off label promotion of COX - 2 drugs	2.3 Bn	2009
Eli Lilly	Off label marketing of Zyprexa	1.4 Bn	2009
Allergen	Off label use of Botox	600 Mn	2010
AstraZeneca	Misinformation on Seroquel (safety)	520 Mn	2010
Novartis	Off label promotion of Trileptal	442.5 Mn	2010
GSK	Off label promotion of 9 drugs	400 Mn	2009
Forest Labs	Marketing of unapproved drug(Levothroid)	313 Mn	2010
Elan	Marketing tactics of Zonegran	203.5 Mn	2010

Table 2: Recent violations and Charges[4]

Reuters (May 2011) notes that in the last five years, the pharmaceutical industry has paid $15 billion in fines to the U.S. government alone for marketing violations.

Regulations and policies now exist at national, state and local levels regarding sales representative access and interactions with healthcare professionals. This means that pharmaceutical business teams have to bring in the culture of compliance at all levels and create definitive methods (it can be based on IFPMA/PhRMA or any other guidelines) to track and comply with a growing number of regulations.

[4]FiercePharma (Oct 2010)

Pricing and Reimbursement Restrictions

In recent years, pricing and reimbursement have been radically impacting revenue margins. The industry has embraced the 'differential pricing approach' as a strategic way to show that their pricing models are not just profit-making, but socially beneficial and consistent with their commitment to society. Pricing policies and reimbursement practices have come under tremendous scrutiny due to its dwindling reputation, tightened regulations and growing healthcare burden with public perception of being the 'most profitable' industry. As a result, governments have adopted two groups of approaches:

- Focus on cost-containment measures for price cuts, formulary/reimbursement restrictions and extended payment periods
- Start initiatives such as Comparative Effectiveness Research (CER), observance groups (e.g.: NICE - National Institute for Clinical Excellence, NHS-UK for clinical evaluation of drugs), value-based pricing

Post recession, there has been an evident elevation of price/reimbursement restrictions in developed markets, also in emerging markets due to amplifying healthcare expenses.

France: Introduction of a low (10-20%) reimbursement group
Germany: Introduction of a cost-effectiveness analysis impacting reimbursement decisions
Spain: Use of price cuts and reference groups to reduce the drugs' bill
US: Expanded support for comparative effectiveness research, Increased Medicaid Part D donut hole discounts if the reform bills are passed
UK: Continued use of risk-sharing schemes (effective drug discounting) for expensive drugs
Brazil: Cost containment pressures may result in cuts in the drugs' budget
Russia: Stricter drug price regulation
India: Potential expansion of drug price controls from 74 to all 354 drugs on the essential medicines list
China: 12% drug price cut
Japan: 5.75% across the board price cut, Changes to the average overseas price calculation aimed at reducing launch prices

Table 3: Pricing and reimbursement restrictions in different markets[5]

Biopharma business teams should adopt flexible drug pricing with a focus on volumes and shift from market centric to customer centric models. 'low prices and high volumes' has to be mantra, to balance commercial interests with social-economic and political interests (especially) in pharmerging markets (which are price-sensitive).

[5]Datamonitor, IMAP

Mass Markets to Specialty Markets

Biopharma traditionally relied on huge sales armies and aggressive product promotion. A published study[6] estimates that between 1996 and 2005, the total spend on pharmaceutical promotions rose from $11.4 billion to $29.9 billion in the US. Another study[7] suggests that it can be close to $57.5 billion in real terms. A report[8] by two NYU researchers' estimates that "U.S. pharmaceutical industry spends almost twice as much on promotion as it does on research and development, contrary to the industry's claim". Much of it goes towards managing massive sales teams but, recent trends have shown a downturn in terms of returns due to sluggish growth rates in primary care markets, market saturation, and huge genericization.

> "Specialty pharmaceuticals represent a relatively new but extremely fast-growing area for the pharmaceutical industry. More than 600 specialty pharmaceuticals are currently under development in a market that is expected to top USD 160 bn by 2013. The cost per patient for specialty pharmaceutical therapies hovers near USD 1,000 a month, but can reach as high as USD 750,000 in a given year."
>
> – IMS Health

The industry is moving away from primary care to specialty care markets. They are adjusting their business models to cater and explore this new segment with clear organic and inorganic growth plans. Specialty care markets are very different from primary care and it manifests at every possible level from the customers, decision makers and influencers to payers, the sales data and the business analysis that needs to occur[9]. Unlike primary care, specialty care markets require lean and agile sales teams with finer skill sets and focused approach. Sales teams should provide value add services and solutions to specific customer needs and situations.

The above mentioned trends constrained the industry to respond in a way to negate, overcome, or avoid the resultant consequences. On the whole, industry's response can be categorized into:

1. Extrinsic Response: Cost containment measures i.e. mergers and acquisitions (cost synergy) and layoffs (cost cutting). This even includes cost reduction activities such as contracts and collaborations.

2. Intrinsic Response: Commercial Excellence with 'customer centricity'. Though industry displayed resilience to turbulent times through drastic cost-containment measures, there is still a conspicuous strive to realize commercial excellence.

[6]NEJM (Aug 2007)
[7]PLoS Medical Study (January 2008)
[8]Science Daily (January 2008)
[9]Eye for Pharma (March 2010)

2010 vs. 2009	2009	2010
Transaction value (USD billion)	161.2	51.6
Top 5 transactions	78.4%	38.3%
Top 5 Countries in 2010	**No. of transactions**	**Value (USD mn)**
United States	114	25.6
Germany	18	5.4
India	48	4.9
China	105	3.4
Brazil	13	1.9

Table 4: M&A at a glance[10]

Company name	Layoffs
AstraZeneca	8,550
Pfizer	8,480
GSK	5,201
Roche	4,800
Bayer	4,500
Abbott Labs	3,000
Sanofi-Aventis	2,500
Takeda	1,400
Novartis	1,400
BMS	840

Table 5: Layoffs in 2010[11]

COX Dimensions

Based on customer-market trends, and senior-level industry understanding, MphasiS defines a powerful and impactful meaning for Commercial Operations (marketing and sales) Excellence, and that is to **maximize profit contributions on all levels by converging sales excellence and customer excellence:**

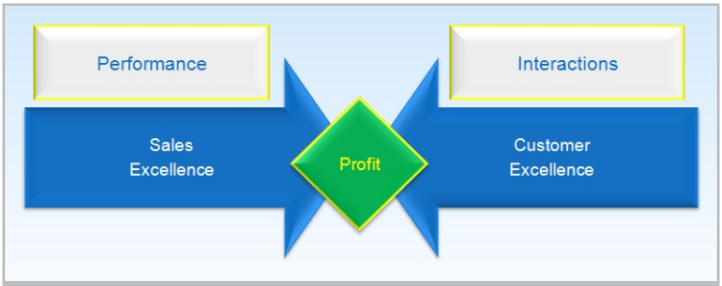

Figure 1: Commercial Excellence

[10]Thompson Database, IMAP
[11]FiercePharma 2010

In order to fundamentally adopt this understanding for commercial excellence, firms must commit to providing the right amount of initiation, measurement, and evaluation.

- Initiate: By taking incremental steps to envision their own baseline, activate the right catalysts in their organization, and cultivate both the right sponsorship and stakeholder community
- Measure: By maturing appropriate processes and enabling technologies, conducted with controls and governance
- Evaluate: By allowing the platforms in place to provide first a baseline and then a set of measured achievable goals through intelligent analytics

To provide a universe for this understanding to first exist, and then to be mastered, MphasiS identifies 9 key dimensions for Commercial Excellence (or "COX"). These nine dimensions shown below depict a view of connected systems and processes:

Figure 2: Nine Dimensions for Commercial Excellence

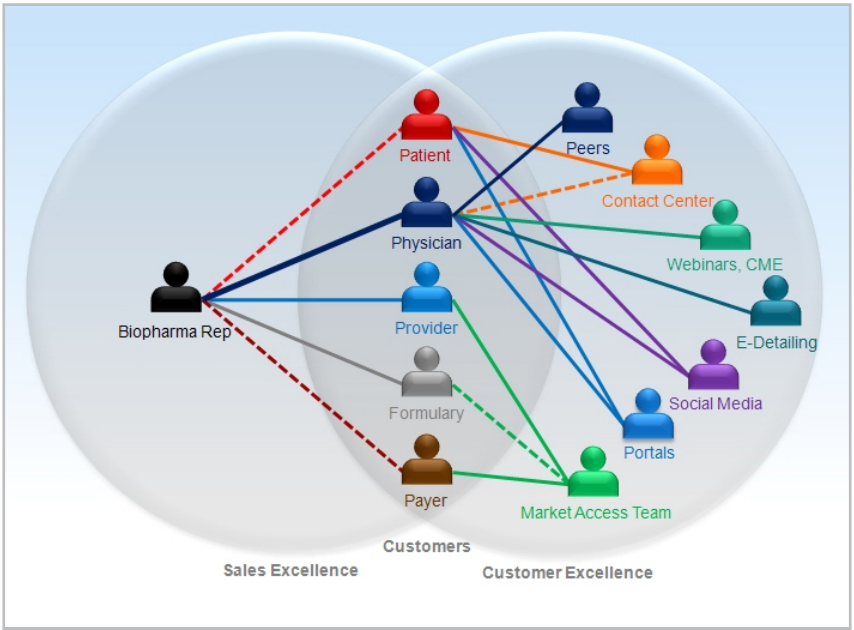

Figure 3: Interactions (A Network) for Commercial Excellence

M-COX™: MphasiS Commercial Excellence

MphasiS created M-COX™ for organizations to facilitate sales and marketing teams in accomplishing commercial excellence. M-COX™ is a **commercial interaction optimizer** and was designed based on the observed and known best practices from the industry.

M-COX™ is a suite of key accelerators (solutions/services) that support business teams to:

- Initiate campaigns/communications
- Evaluate, manage, and measure the same across the channels
- View analytical, actionable, and insightful reports and dashboards on specific KPIs

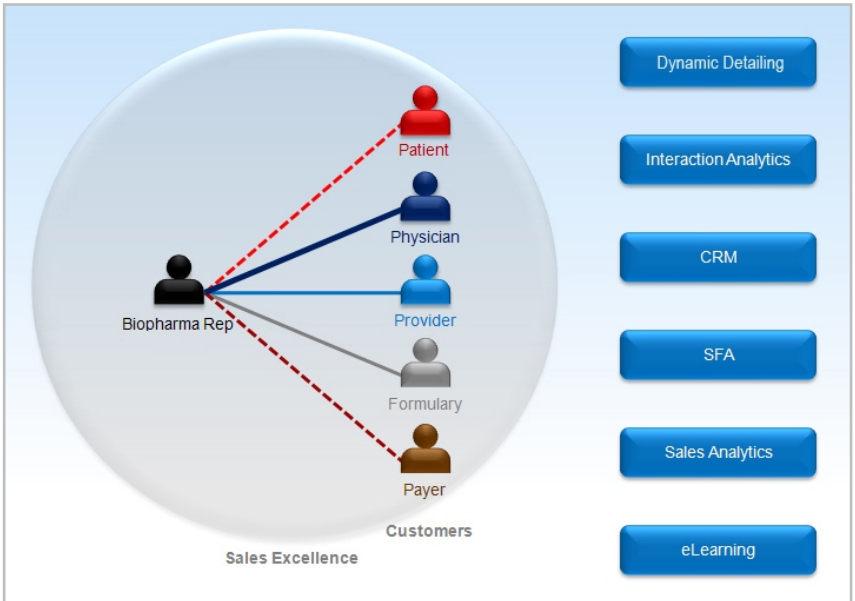

Figure 4: Accelerators for Sales Excellence

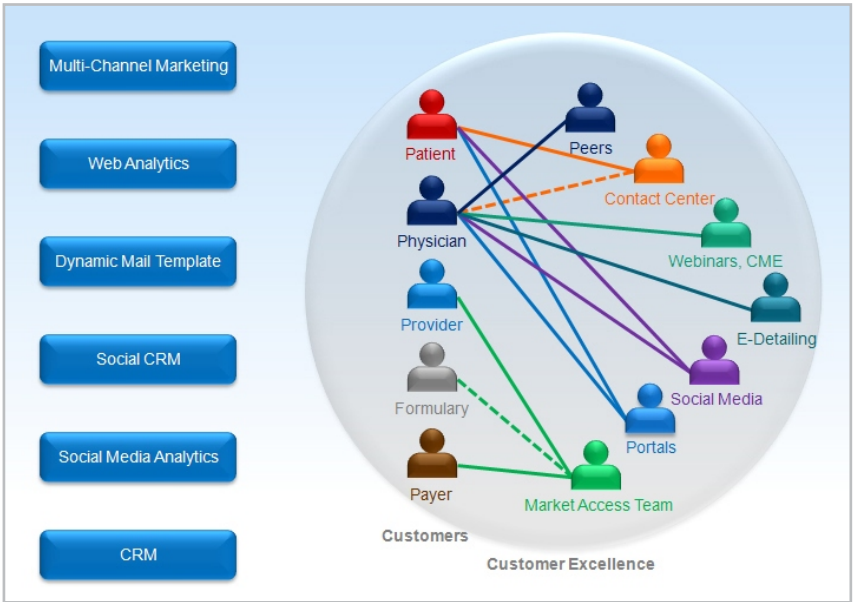

Figure 5: Accelerators for Customer Excellence

Obtaining RoI

Companies have already embraced some technology based initiatives in SFA, CRM, and CLM. The measurement of RoI is still a challenge. The best argument to conjecture is that the majority of these programs continue to be funded to focus on cost-reduction, optimization, and maintaining functional business processes at a hygiene or "just keep the organization afloat" level.

According to a recent Gartner study on CRM sales: '*Since majority of the technology based projects focus on cost cutting or time-saving measures, while facilitating revenue growth represents a less common, more ambiguous technology objective, where few best practices exist for establishing line of sight on a technology's impact on selling*'.

M-COX™ is a bold and refreshing perspective, as it primarily focuses on optimizing commercial interactions through customer-centricity and effective effort and resource utilization. There are at least five ways to measure RoI from M-COX™:

- Message relevance and *Rx* increase
- Positive response/mention - product adherence and *Rx* increase
- Increased productivity
  - Enhanced response to call or communication
  - Higher levels of interaction
  - Instant feedback or recording
- Pertinent feedback and optimal customer engagement
- Improved achievements vis-à-vis targets

Note: Financial returns (payback period, net realization value, interest rate of return, etc) for IT solutions are predominantly calculated based on cost reductions and benefit realization. The majority of the business managers agree that intangible or non-financial benefits of process and technology based solutions are due to operational improvements and reductions in time. However, it still holds true that type of chosen measurements become important to evaluate the overall impact of the solution.

Key benefits of employing M-COX™

- Facilitates dynamic content definition and personalized product presentations
- Optimizes utilization of CRM information
- Helps in contact, account, and opportunity management
- Delivers dynamic reports that provide actionable insights (through validated KPIs)
- Leverage and monitor social media
- Assists to initiate, evaluate, and manage multi-channel marketing campaigns
- Provides platform flexible framework (including mobile enablement)

Conclusion

With ever-changing landscape and tightening restrictions on one side; and tantalizing opportunities of new markets and specialty segments on other side, M-COX™ in combination with a business model can be a trailblazing strategy. It supports business teams in the evaluation and optimization of interactions and communication, based on the customer needs and interests across the channels. This can lead to very effective and successful orchestration of various stakeholders within the business.

> To sustain sales growth and satisfy shareholders, pharmaceutical companies must start to look beyond fine-tuning their conventional approach to sales and marketing. Instead, they must turn their attention to a whole new level of commercial excellence. Commercial excellence goes far beyond sales force effectiveness...Ultimately, commercial excellence aims to maximize the impact of all commercial investments.
>
> – Commercial Excellence in Pharmaceutical industry, a study
>
> An increasing reliance on electronic information exchange technology will be a key aspect of the infrastructure for all stakeholders. Organizations will be robust within geography and brand – with specialization across stakeholder and sub-geographies.
>
> – IMS Health

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ABOUT MPHASIS.

MphasiS is a $1 billion global service provider, delivering technology based solutions to clients across the world. With currently over 40,000 people, MphasiS services clients in Healthcare and Life Sciences, Insurance, Banking and Capital Markets, Manufacturing, Communications, Retail and Consumer Packaged Goods, Media & Entertainment, Transportation & Logistics, and Energy & Utilities, and Governments around the world. Our competency lies in our ability to offer integrated service offerings in Applications, Infrastructure Services, and Business Process Outsourcing capabilities. To know more about MphasiS, log on to www.mphasis.com

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